

VERDICT: Kenya is not at risk of an oil shortage by 31 March 2026 — it is already in one.

Simultaneous exogenous supply shock, endogenous regulatory failure, distributional collapse, and demand-side amplification.

20%

of 3,100 stations
in stock-out

\$110+

crude oil price
(per barrel)

0

fuel tankers due
at Mombasa to 5 Apr

~12 d

effective reserve
under panic demand

1. THE SUPPLY-DEMAND ARITHMETIC

The vessel Paloma docked at Mombasa on 27 March carrying ~60,000 MT of refined petroleum. Kenya consumes ~116,000 barrels/day (Worldometers, 2024), or ~5,333 MT/day of petrol and diesel (The Star, 2025). Daily breakdown: 5.33M litres petrol, 6.93M litres diesel, 39M litres kerosene (Kamau, 2026).

Government claims KPC reserves of 102M litres petrol, 146M litres diesel (Capital FM, 2026a) — roughly 19–21 days coverage at normal rates. But demand is far from normal: panic buying and rural-to-urban migration have spiked throughput.

Critically, of 52 vessels scheduled at Mombasa through 5 April, none carries fuel (Business Daily, 2026). The Paloma may be the last confirmed cargo for two weeks.

SUPPLY ARITHMETIC

Paloma delivery: ~60,000 MT
Daily consumption: ~5,333 MT/day
Coverage = 60,000 / 5,333 = 11.25 days

Petrol reserve: 102M L / 5.33M L/d = 19.1 d
Diesel reserve: 146M L / 6.93M L/d = 21.1 d

Effective coverage under crisis-demand:
est. 12–16 days

DANGOTE LIFELINE

Kenya has reached out to Nigeria's Dangote Refinery (650k bbl/d), but 75% of output is for Nigeria. A Lagos–Mombasa cargo via Cape of Good Hope takes 18–22 days — medium-term option, not a fix (Nairametrics, 2026; Zawya, 2026).

2. THE PRICE-CEILING PATHOLOGY

EPRA froze pump prices for 15 Mar–14 Apr despite landed diesel costs rising 8.46% and crude surging past \$110/bbl (The Star, 2026b; Nairobi Wire, 2026). This creates a binding price ceiling where replacement cost exceeds the regulated pump price.

Large OMCs rationally withhold inventory rather than sell at a margin below replacement cost — optimal behaviour, not "hoarding" (Capital FM, 2026b). Meanwhile, 68% of retail outlets are small independents facing a margin squeeze: OMCs sell wholesale at near-pump price, leaving no margin for rural dealers. UNEPA has threatened to halt all sales (Daily Nation, 2026a).

EPRA has proposed compensating OMCs at KSh 11/litre for emergency volumes, but this lacks statutory basis and COFEK has challenged its legality (Capital FM, 2026c).

ECONOMIC MODEL

When $C(t) + Mw + Mr > P$ (EPRA cap),
market enters negative-margin regime:

1. OMCs withhold inventory (rational)
2. Independents can't procure wholesale
3. Rural stations close (stockouts)
4. Rural demand migrates to urban stations
5. Urban stations overwhelmed:
Must supply $D_{\text{urban}} + aD_{\text{rural}}$
where capacity $Q = D_{\text{urban}}$ only

Result: distributional collapse even
with non-zero aggregate stock.

3. GROUND-LEVEL EVIDENCE: THE SHORTAGE IS REAL

Since Monday 23 March, motorists across Kenya have reported acute fuel shortages. Shell Kenya (Vivo Energy) confirmed stock-outs on 26 March, citing unprecedented demand (NTV Kenya, 2026). POAK chair Chomba reported a massive influx of vehicles from rural areas into urban stations, making it logistically impossible to meet demand (Citinewsroom, 2026). In the North Rift — Eldoret, Kitale, Kapsabet, Bungoma — diesel is exhausted, devastating farmers mid-planting season (Daily Nation, 2026b). President Ruto acknowledged on 26 March that the Middle East crisis poses real, growing risks to Kenya's economy (Serrari Group, 2026).

STRUCTURAL VULNERABILITY

Most marketers hold only 15–18 days of stock despite regulations requiring 20–25 days (Serrari Group, 2026). With no fuel tankers on the Mombasa schedule until at least 5 April, OMC wholesale prices at pump level, and 68% of outlets unable to acquire stock at a viable margin, the distribution system is in collapse. Energy CS Wandayi has warned OMCs against hoarding — but structural incentives remain unchanged.

4. PROBABILITY ASSESSMENT: SHORTAGE TRAJECTORY BY 31 MARCH



Kenya is operating in a corridor of vulnerability (cf. Leijonhufvud, 1973): any further shock — a delayed cargo, deepening conflict, a run on stocks — tips the system from "stressed" to "collapsed." The Paloma provides a transitory buffer but alters none of the four structural drivers: exogenous supply shock (Hormuz closure), endogenous regulatory failure (binding price ceiling), distributional collapse (margin squeeze), and demand-side amplification (panic buying, spatial displacement). This is a non-equilibrium trajectory requiring active policy intervention — price liberalisation, emergency supply diversification, or strategic reserve drawdown — to arrest. None appear imminent.

KEY TAKEAWAYS FOR POLICY AND BUSINESS

Supply gap: Paloma buys ~11 days, but no further tankers confirmed until early April. Effective reserves: 12–16 days under crisis demand.

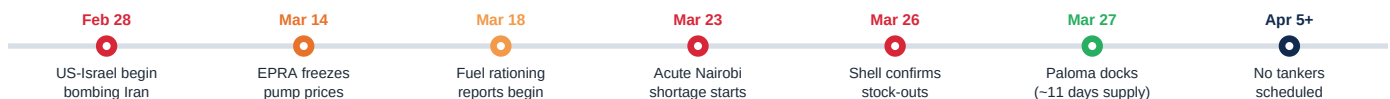
Regulatory failure: EPRA's price freeze incentivises withholding. Absence of wholesale cap destroys independent dealer margins (68% of outlets).

Distribution collapse: Rural stations closing; demand migrating to urban centres, overwhelming capacity even where stock exists.

Dangote option: Kenya has approached Dangote Refinery, but cargo transit is 18–22 days. Export capacity is contested by multiple African buyers.

EPRA compensation: Proposed KSh 11/litre OMC subsidy lacks legal formalisation and faces COFEK legal challenge — insufficient to restore confidence.

5. CRISIS TIMELINE



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